

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

WAN HAI LINES, LTD. AND WAN HAI LINES (USA) LTD. -
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-16

Served: June 7, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING MOTION TO INTERVENE AND JOINT SETTLEMENT MOTION

I. Background and History

The Federal Maritime Commission (“Commission” or “FMC”) initiated this proceeding on December 30, 2021, by issuing an Order of Investigation and Hearing (“OIH”) pursuant to 46 U.S.C. §§ 41102(c), 41302(a), and 41304, to determine whether Respondents violated section 41102(c) of the Shipping Act, by failing to establish, observe, and enforce just and reasonable regulations and practices relating to Respondents’ assessment of detention charges on containers when Respondents either: a) failed to provide equipment return locations; b) identified an equipment return location that was not accepting the container chassis or appointments were unavailable for equipment return; and, c) failed to waive detention charges when such charges were disputed and evidence produced to Respondents that no such appointments were available. OIH at 1-6. If Respondents were found to have committed the violations, the Commission directed that this proceeding determine whether civil penalties should be assessed, and in what amount, and whether a cease-and-desist order should be issued. OIH at 6, 8.

In addition, the Commission designated the Bureau of Enforcement (“BOE”) as a party to the proceeding and assigned the proceeding to the Office of Administrative Law Judges for adjudication and issuance of a decision within six months of the date of the OIH (by June 30, 2022). Further, the OIH set the issuance of the final decision of the Commission to occur ninety days from service of the Initial Decision. OIH at 8-9.

On May 2, 2022, Respondents Wan Hai Lines, Ltd., and Wan Hai Lines (USA) Ltd., together with the Bureau of Enforcement (collectively “the Parties”), filed a joint motion for approval of a proposed settlement agreement (“Joint Settlement Motion”) and a joint memorandum in support of the proposed settlement (“Memorandum”) with a copy of the settlement agreement, seeking approval of the settlement agreement and dismissal of this proceeding with prejudice.

On May 16, 2022, Orange Avenue Express (“OAE”) filed a motion for leave to intervene in this proceeding (“Intervention Motion”). OAE has a pending complaint in Docket No. 21-10

alleging that Hapag-Lloyd violated sections 41102(c), 41104(a)(3), and 41104(a)(8) regarding the return of empty reefer containers. 21-10 Complaint at 2, 4.¹

No responses to the intervention motion were received from the parties by May 24, 2022, when the responses were due. The Office of the Administrative Law Judges emailed the parties on May 25, 2022, inquiring whether they intended to file responses to the intervention motion. Respondents stated that they would file an opposition by the end of the week and BOE stated that it did not intend to file a response.

On May 25, 2022, an order requiring supplemental briefing (“Supplemental Briefing Order”) was issued, posing certain questions to the parties for response and instructing the parties to “submit a response to the motion to intervene which supplements their arguments regarding the merits of the settlement agreement by June 1, 2022.” Supplemental Briefing Order at 3. The parties filed their responses to the supplemental briefing order on June 1, 2022.

II. Motion to Intervene

OAE seeks leave to intervene pursuant to 46 C.F.R. §§ 502.68(c)(1) and (c)(2)(i) of the Commission’s Rules and Regulations, asserting that several terms in the settlement agreement between the parties “may improperly set forth broad brush standards of conduct that are not in compliance with prior Commission guidance, are violative of the Act and would more appropriately be addressed by a notice of proposed rulemaking, or should otherwise not be part of the Agreement.” Intervention Motion at 2.

OAE states that its pending litigation against Hapag-Lloyd AG in Docket No. 21-10 alleges similar violations as in this proceeding and contains overlapping claims against Hapag-Lloyd for violation of 46 U.S.C. § 41102(c) based on similar factual allegations. Intervention Motion at 2. OAE contends that “separately, as a motor carrier customarily providing drayage services in the Ports of Los Angeles and Long Beach, OAE could be prospectively effected by any ruling thereon as the Agreement purports to give ocean carriers generalized ‘safe harbor’ guidelines moving forward with regard to continuing issues of charging detention on empty container returns without the benefit of any data supporting the terms thereof or comment by the public in general.” Intervention Motion at 2.

OAE maintains that granting it leave to intervene would allow it to submit “a brief addressing the insufficiencies and possible unintended consequences of the Agreement for consideration of the Presiding Officer and Commission.” Intervention Motion at 2. OAE summarizes some of the alleged deficiencies in its motion for intervention and, should it be allowed to intervene, requests ten days from the date of entry of the order of intervention to file its brief addressing the settlement agreement. Intervention Motion at 2-9.

¹ On May 25, 2022, OAE also filed a motion to intervene in a settlement agreement between BOE and Hapag-Lloyd in a similar proceeding in Docket No. 21-09, *Hapag-Lloyd and Hapag-Lloyd (America) LLC, Possible Violations of 46 U.S.C. § 41102(c)*, presently pending before the Commission.

BOE asserts that OAE's motion to intervene should be denied because OAE does not meet the requirements under the Commission's Rules and Regulations to intervene by right or to be granted permission to intervene. BOE argues that "[a]lthough OAE may have an interest as to how the proceeding impacts the interpretation of the Interpretive Rule on Demurrage and Detention Under the Shipping Act [it] has no particular interest related to any property or transaction in this proceeding;" and even if OAE did have such an interest, the settlement agreement would not impair or impact OAE's ability to protect their interest or to establish a prima facie case against Hapag-Lloyd in Docket No. 21-10, where OAE is the complainant. BOE Response to Orange Avenue Express, Inc's Motion for Leave to Intervene and Supplemental Brief ("BOE Supplemental Brief") at 3-4. BOE avers that the settlement agreement only establishes future practices for Wan Hai Lines with regard to its detention assessment practices and, while the settlement agreement may give some clarity to the shipping public regarding reasonable practices for the Respondents in this proceeding, it is "narrowly tailored to this proceeding's circumstances, and binds only this proceeding's Respondents and will not impede or impair OAE's litigation in FMC Docket No. 21-10." BOE Supplemental Brief at 4. As such, BOE contends, OAE cannot assert a right to intervene in this proceeding.

In addition, BOE asserts that OAE has also not demonstrated that it should be granted permission to intervene in this proceeding. BOE states that OAE's motion has already delayed this proceeding and that an intervention by OAE will further delay the proceeding by broadening the scope of the proceeding, would not foster a speedy or inexpensive determination, would duplicate many procedural steps already taken by the parties, and would not assist in the development of the record. BOE Supplemental Brief at 5. BOE opines that "[a]n amicus curiae brief may have been a better vehicle to provide 'insight and perspective' to the Parties Settlement Agreement than intervention into this proceeding." BOE Supplemental Brief 5-6. BOE notes that the timeliness of a motion is one of the factors taken into consideration when deciding whether to grant a motion to intervene. BOE asserts that "[i]n order to intervene at this point in the proceedings, OAE would need to demonstrate good cause. OAE does not discuss why it chose intervention over filing an amicus brief." BOE Supplemental Brief at 6.

Respondents similarly argue that OAE does not meet the criteria to intervene as a matter of right or for permissive intervention. Respondents maintain that "OAE has no interest whatsoever in the twenty-one containers that are the subject of this proceeding, and does not claim such an interest in the Motion." Respondents' Opposition to Motion for Leave to Intervene and Supplemental Briefing ("Respondents' Supplemental Brief") at 2. Respondents assert that as OAE is a party in Docket No. 21-10, in which it is alleging Shipping Act violations, that "proceeding enables OAE to fully protect its own interests with respect to the separate transactions that are the subject of Docket No. 21-10, and makes it unnecessary for OAE to intervene in this proceeding." Respondents' Supplemental Brief at 2. Respondents contend that granting OAE intervention as a matter of right would thus be inappropriate.

Respondents also assert that OAE has not demonstrated why it should be permitted to intervene in this proceeding. They contend that the issues OAE raise for discussion will not assist in establishing a sound record, citing as an example, OAE's exception to both the requirements that motor carriers make appointments to return empty containers and to the requirement for dual transactions. Respondents aver that the settlement agreement will have no impact on those issues

because both requirements are established by terminal operators, not ocean carriers. Respondents' Supplemental Brief at 3.

Respondents state that OAE "mischaracterizes the impact of the settlement agreement" as the settlement agreement "merely articulates some objective criteria that Wan Hai and other stakeholders are able to use going forward to assess" whether shippers, intermediaries, and truckers have satisfied customary obligations, including cargo retrieval obligations. Respondents' Supplemental Brief at 4. Respondents posit that since BOE is a party to this proceeding, the public interest with respect to the issues raised in the settlement agreement is well represented, and thus that any further briefing by OAE would be duplicative, cause undue delay, and not assist in the development of a sound record. Respondents' Supplemental Brief at 5. Respondents urge that OAE not be permitted to intervene in this proceeding.

Commission Rule 68(c)(1) allows intervention by right.

The presiding officer or Commission must permit anyone to intervene who claims an interest relating to the property or transaction that is subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest, unless existing parties adequately represent that interest.

46 C.F.R. § 502.68(c)(1).

Commission Rule 68(c)(2) allows permissive intervention.

The presiding officer or Commission may permit anyone to intervene who shows that a common issue of law or fact exists between such person's interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person's participation may reasonably be expected to assist in the development of a sound record.

46 C.F.R. § 502.68(c)(2)(i).

OAE has not demonstrated that it is entitled to intervention as a matter of right pursuant to Rule 68(c)(1), because OAE has not established that its ability to protect its interest will be impeded or impaired should it not be allowed to intervene in this proceeding. No OAE shipments are at issue in this proceeding, and the settlement agreement addresses the issues being litigated in this proceeding against different respondents. In addition, since OAE has a pending litigation in Docket No. 21-10, where it raises similar allegations as those raised in this proceeding, OAE will have the opportunity to represent its interests through that proceeding.

An entity seeking permissive intervention must demonstrate that common issues of law or fact exist between the entity's interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of rights, or be duplicative of the positions of any existing party; and that such

entity's participation may reasonably be expected to assist in the development of a sound record. 46 C.F.R. § 502.68(c)(2)(i).

There are similarities between the issues raised in this proceeding and those raised in Docket No. 21-10, and OAE's brief would provide some helpful insights regarding the potential impact and unintended consequences of the terms in the settlement agreement which would assist in the development of a better record for review. However, any benefits gained from the intervention would nevertheless be outweighed by the burden such an intervention would create. Intervention at this stage would unduly delay and broaden the scope of this proceeding as this proceeding addresses practices by a different respondent than at issue in Docket No. 21-10.²

Addressing BOE's contention that OAE should have filed an amicus curiae brief rather than a motion to intervene, it is not clear that BOE's contention has merit. "A brief of an amicus curiae must be limited to questions of law or policy." 46 C.F.R. § 502.73(a). Here, OAE seeks to challenge some of the terms in the settlement agreement, arguing that they are violative of the Shipping Act and the Commission's guidance because they would have unintended consequences and place an undue burden on other entities in the shipping industry that are not part of the agreement. OAE's challenge is with the settlement agreement, itself, not only on a question of law or policy. Therefore, had the request been to submit an amicus curiae brief, that would also have been denied.

Accordingly, after weighing all of the factors to be considered when deciding whether to grant a motion to intervene and keeping in mind that this is an expedited proceeding against a different respondent, intervention will not be permitted.

III. Joint Motion to Approve Proposed Settlement Agreement

Pursuant to Rule 603(a) of the Commission's Rules of Practice and Procedure, governing settlements in Commission-instituted proceedings, all settlements in formal, docketed Commission-instituted proceedings must be approved by the presiding officer and the full text of any settlement must be included as part of the final order of the Commission. 46 C.F.R. § 502.603(a).

In the proposed settlement agreement, (1) Respondents make no admission of a section 41102(c) violation and the parties agree that (2) Respondents will pay a civil penalty in the amount of \$850,000; (3) the Commission waives its rights to bring further enforcement action on the basis of Respondents' detention practices from May 18, 2020, to April 22, 2022; (4) Respondents will cease collection attempts with respect to detention assessed against the shipments enumerated in the OIH; (5A) Respondents will publish to its website an email address and phone number for submitting all disputes or requests for waiver or refund of detention charges and the agreement details specific requirements for requesting a waiver and evidence of unavailability; (5B) Respondents will train all employees "involved in the billing of detention, demurrage, or per diem or the handling of disputes related thereto," on the requirements of the Commission's Demurrage and Detention Rule; (5C) Respondents will clarify "in its

² A different conclusion might have been reached had the respondents in this proceeding and in Docket No. 21-10 been the same.

communications with motor carriers that the return location information posted on its website with respect to the return of empty equipment in Los Angeles/Long Beach is advisory only;” (5D) Respondents will “post on its website a complete list of locations that it has authorized to accept empty Wan Hai containers, updated daily by 4pm;” and (6-10) filing and waiver agreements. Settlement Agreement at 2-5.

The parties contend that the settlement agreement meets the criteria set by the Commission for the approval of agreements resolving administrative enforcement claims and should be approved. Memorandum at 1. They state that the settlement agreement “addresses the practices implicated by the alleged violations which formed the basis of the Commission’s investigation and reflects what the Parties believe to be an appropriate resolution of the matter.” Memorandum at 2. Further, the parties aver that the settlement agreement derives from several discussions between the parties where they “were able to come to a reasonable, fair, and valid agreement. No party was put under duress, undue influence to come into agreement and the Settlement Agreement is void of fraud or mistake.” Memorandum at 4. In addition, the parties posit that the “significant civil penalty” that Respondents have agreed to pay, when coupled with Respondents’ compliance with the Demurrage and Detention Rule, will have a deterrent effect both on Respondents and the industry as a whole, because the “Settlement Agreement, unlike an Initial Decision, has articulated practices for Respondents to follow that conform with the Interpretive Rule,” whose “guidance will benefit the shipping public in its clarity.” Memorandum at 5-6. The parties ask that this proceeding be dismissed in its entirety upon approval of the settlement agreement. Memorandum at 6.

The Commission favors approval of settlement agreements that meet the required criteria.

The Commission’s decisions and regulations have long indicated a broad policy favoring settlement. In reviewing a proposed settlement, the Commission evaluates whether it would contravene any law or public policy, and whether it is “fair, reasonable, and adequate.” As the parties note, the Commission weighs enforcement policy in terms of deterrence and compliance, likely costs and delay, and “pragmatic litigative possibilities” regarding the proceeding’s potential outcomes.

Possible Unfiled Agreement Between Hyundai Merchant Marine Company, Ltd. and Mediterranean Shipping Co., S.A., Docket No. 97-07, 2000 FMC LEXIS 2 at *4 (FMC 2000) (citing *Old Ben Coal Co. v. Sea-Land Serv.*, 21 F.M.C. 506, 512-513; 18 S.R.R. 1085, 1091 (ALJ 1978); *Far Eastern Shipping Co. – Possible Violations of Sections 16, Second Paragraph 18(b)(3) and 18(c), Shipping Act, 1916*, 21 S.R.R. 743, 1014 (ALJ 1982)).

The Commission has routinely held that negotiated settlement agreements should be approved unless the agreements present one of a few defects requiring disapproval. The Commission has consistently adhered to a policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid. Despite the general preference for approval of settlement agreements, the Commission does not merely rubber stamp any proffered settlement. Instead, the Commission typically reviews a settlement to ensure that it does not contravene law or public policy. Such review typically

includes evaluating factors to determine that the settlement was not a product of fraud, duress, undue influence, or mistake. The Commission also reviews the terms of settlement agreements to ensure that the terms are fair, reasonable, and adequate. The review process frequently involves a balancing of the likelihood of success on the merits against the cost and complexity of proceeding to final judgment.

World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing, a.k.a. Johnny Yu – Possible Violations of Section 10 of the Shipping Act of 1984, Docket No. 09-07, 2010 FMC LEXIS 27 at *5; 31 S.R.R. 1346, 1350 (FMC 2010) (internal citations omitted).

The order requiring supplemental briefing stated that “[t]he undersigned cannot approve a settlement agreement that contravenes law or public policy,” identified specific concerns about section 5 of the settlement agreement, and ordered the parties to submit supplemental arguments about the merits of the settlement agreement. The parties addressed the merits of the settlement agreement in their June 1, 2022, supplemental filings.

BOE asserts that the settlement agreement “fully complies with” and “articulates practices for Respondents to follow that conform with the [Demurrage and Detention] Rule;” the “terms are fair, reasonable, and adequately negotiated to bring this proceeding to a just, speedy, and inexpensive determination;” and addresses specific sections of the settlement agreement. BOE Supplemental Brief at 8-15. Respondents address section 5 of the settlement agreement, the use of appointment systems, timing of screenshots, and dual transactions to assert that the settlement agreement should be approved. Respondent Supplemental Brief at 4-9.

It appears that the parties negotiated the settlement agreement in good faith. Moreover, the undersigned has no concerns about the majority of the terms, including the civil penalty, agreement not to collect detention on the shipments at issue, training sessions, and waivers. The parties worked efficiently to resolve this expedited proceeding and to conserve resources by reaching a settlement without the need for briefing the merits.

BOE asserts that the decision is narrowly tailored to address only the factual circumstances in the case at hand, however, it also says that it “believes it is in the best interest of the shipping public to . . . have clear procedures to follow, which balance the burden between both parties in a detention billing dispute.” BOE Supplemental Brief at 9-10. BOE recognizes that the settlement agreement imposes “requirements on the motor carrier, cargo owner, or public, [but] does not believe this to be an unreasonable burden.” BOE Supplemental Brief at 9. BOE also acknowledges that the settlement agreement would deem certain practices in compliance with the Act and the Commission’s regulations, stating that “a determination of reasonableness is at the heart of this litigation.” BOE Supplemental Brief at 10. Respondents “do not believe the proposed solution creates an unreasonable burden on trucking companies, beneficial cargo owners, or the shipping public” but rather “provides a reasonable framework for an entity seeking a waiver of detention charges to demonstrate that the motor carrier acted diligently” in attempting to return equipment.” Respondents’ Supplemental Brief at 7.

Approval of this settlement agreement, therefore, requires a finding that the procedures outlined for contesting detention charges are not unreasonable under section 41102(c), the

Demurrage and Detention Rule, and the Shipping Act. The procedure required by the settlement agreement in section 5 is not limited to these 21 shipments or the ports at issue in this proceeding, but rather sets out procedures to be used by Respondents in evaluating waiver requests of detention by truckers, beneficial cargo owners, and the shipping public throughout the country. This proceeding was expedited due to “unprecedented congestion” which “affected the entire supply chain” and it is therefore expected that the resolution could have a significant impact on the supply chain.

The primary portion of the settlement agreement addressing the procedure is in section (5)(A)(iii) labeled “Evidence of Unavailability,” which states:

- a. A person wishing to obtain a waiver or refund of detention charges imposed for a specific date (each such date a “Waiver Date”) on the grounds that an appointment was not available on the Waiver Date must provide a screenshot of the appointment system(s) of each terminal utilized by Wan Hai at the relevant port (in the case of equipment returned to the port) or of the appointment system of each inland facility used by Wan Hai in a particular inland region (in the case of equipment return to such a facility) taken the day prior to the Waiver Date and on the Waiver Date. Such screenshots must be taken not later than three (3) hours following the time at which appointments are made available by the terminal or other facility.
- b. Screenshots of third-party websites purporting to show unavailability of appointments will be accepted as valid evidence of the information displayed therein provided, they meet the following criteria:
 - 1. The third-party website is in widespread use and is generally recognized as reliable and accurate.
 - 2. The screenshot(s) shows the entire screen (including URL) and appointment information for all shifts for all Wan Hai terminals.
 - 3. The screenshot(s) include an automatically generated date/time stamp, or an image of the date and time displayed on screen.
 - 4. The screenshot(s) submitted, documents the basis for the dispute (i.e., lack of appointments, chassis restrictions, dual turn requirements, etc.).
- c. If a screenshot shows an available appointment that the disputing person asserts could not be used by the motor carrier, the dispute must include a description of why the appointment could not be used.
- d. With respect to an inability to perform a dual transaction, the party submitting the dispute must include a statement from the motor carrier that it attempted in good faith to arrange for dual-transaction and after reasonable efforts was unable to do so.

Settlement Agreement at 3-4.

Under this agreement, an entity disputing detention charges for an empty container it was unable to return due to lack of sufficient appointments would need to submit five sets of items: (1) screenshots showing appointment systems for all authorized return locations the day prior to the waiver date, (2) screenshots of appointment systems for all authorized return locations the day of the waiver date, (3) a description of why any available appointments could not be used, (4) a statement that “it attempted in good faith to arrange for a dual-transaction” where relevant, and (5) the entity must have contacted Respondents’ equipment control department to report the carrier’s inability to secure an appointment. Settlement Agreement at 3-4. “The dispute will be denied with respect to any day covered by the dispute for which such evidence is not provided” or if Respondents determine “in good faith that appointments were reasonably available.” Settlement Agreement at 4.

Because this settlement was reached prior to briefing on the merits, there is very limited information in the record. However, a similar case addressing the return of empty containers to a different respondent at the same port was recently decided and is on appeal before the Commission. The initial decision in that case found that it was unreasonable, and a violation of section 41102(c), for that respondent to have refused to waive detention charges where there were not sufficient appointments available to return empty containers. *Hapag-Lloyd, A.G.—Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 2022 FMC LEXIS 156 (ALJ April 22, 2022). In that case, the trucking company had screenshots showing that all appointments were full on some of the days for which detention was charged, information about why appointments could not be used (for example, only available for a different sized container), and evidence that they had contacted that respondent about the problems returning containers. Thus, that case was decided based on three of the five items that would be required under the settlement agreement in this case.

The two additional items required by the settlement agreement are screenshots for the day prior to the waiver date and a statement regarding dual transactions. Both requirements will be discussed. It is not clear whether the screen shot for the day prior to the waiver date is supposed to show whether appointments were available on the day prior or whether appointments were available on the day for which the waiver is requested.

Applying the incentive principle to the return of empty containers, on days when there are not sufficient appointments to return empty containers, no amount of detention charges could incentivize container return, so detention should not be charged. See *Interpretive Rule on Demurrage and Detention under the Shipping Act* (“Demurrage and Detention Rule”), 85 FR 29638 (May 18, 2020). However, on days when there are sufficient appointments, detention charges would serve their intended purpose of incentivizing the return of containers, and therefore detention should be charged. *Id.* Detention charges are imposed on a daily basis, therefore, the focus should be on whether containers could be returned on each individual day for which detention was charged.

If the screenshots of the day prior show that appointments were available on the day prior to the waiver request date, and the request to waive detention is denied on that basis, the Respondents would only be required to waive detention charges when there are two back-to-back days with no appointments. This would seem to contravene the incentive principle. For example, take an entity that is supposed to return a container on Tuesday, but is unable because

appointments were full on Tuesday. The screenshot on Monday shows that appointments were available to return the container on Monday, however, that is not relevant to whether the container could have been returned on Tuesday. Denying a request for waiver of detention for failure to return equipment on a day when the equipment is not yet due to be returned effectively reduces the free time for that container. Such an outcome may violate the Shipping Act and the Demurrage and Detention Rule.

The other reading of this requirement is that on Monday, the entity should check to see whether there are any appointments available on Tuesday, and then check again on Tuesday, to see whether there are appointments available for Tuesday. However, the parties agree that Respondents provide a list of locations it has authorized to accept empty containers, updated daily by 4 pm, as required by section 5D of the settlement agreement as well as the Uniform Intermodal Interchange and Facilities Access Agreement (UIIA). BOE Supplemental Brief at 15; Respondents' Supplemental Brief at 4-5. So, entities may not know what terminals to check on Monday until 4 pm, which is likely to be outside of the three-hour window (screenshots must be taken no later than three hours following the time at which appointments are made available). Moreover, containers may not be ready to be returned on Monday, and it is not clear why entities must provide evidence of screenshots on two days to request a waiver on one day.

The parties addressed the three-hour window. BOE states that, based on information obtained during discovery, terminals release appointments for a given day at a particular point in the day, but that each is different than the other, “[f]or example, a terminal may release appointments for a Wednesday at 3pm on the previous Monday, but another may release them at 10am on the previous Tuesday.” BOE Supplemental Brief at 12. BOE further states that this requirement does not refer to the dynamic nature of individual time slots, which may become available throughout the course of the day, and BOE indicated a willingness to work with Respondents on this clause. BOE Supplemental Brief at 12-13. Respondents state that screen shots are not required to be submitted on a rolling basis, but only for each day within a reasonable time (3 hours) of when appointments are first released and that the time of release is available by inquiring with the relevant terminal. Respondents' Supplemental Brief at 7. Respondents further note that they do not call at all of the same or as many terminals as the respondents in Docket 21-09. Respondents' Supplemental Brief at 7 n.2.

When requesting a waiver, a party would need to show screen shots for two days from all terminals where respondents call, within three hours of the release of appointments. So, if empty containers are accepted at four terminals on a given day,³ the entity could need eight screen shots, potentially all taken at different times. The entity may not know which containers it will be unable to return timely, so it may need to take these screenshots for all containers with free time ending.

Regarding where empty containers can be returned, section 5D requires Respondents to “post on its website a *complete list* of locations that it has authorized to accept empty Wan Hai containers” but section 5C states that “the return location information posted on its website with

³ The respondent in docket 21-09 utilized at least seven terminals at LALB but it appears that this Respondent utilizes fewer terminals, although the number is not in the record and could change.

respect to the return of empty equipment in Los Angeles/Long Beach is *advisory only* and is *not intended to constitute an exhaustive list* of the locations to which a motor carrier may return Wan Hai equipment.” Settlement Agreement at 4 (emphasis added).

“BOE believes that Respondents should fully disclose where to bring containers, so motor carriers know where to look for appointments.” BOE Supplemental Brief at 14. Respondents clarify that “Section 5C makes clear that the default location on the Wan Hai website is not the only potential return location and Section 5D identifies the other locations to which equipment could potentially be returned.” Respondents’ Supplemental Brief at 5.

In Fact Finding 29, the Commission recently described “the frustration shippers and drayage operators noted regarding notice of where and when empty containers can be returned” stating:

It appears that there is a lack of consistency across the United States with respect to the return of empties and it is not always clear who is responsible for communicating return locations. While carriers are taking strides to communicate the information to shippers and drayage operators, there remains a disconnect over who is ultimately responsible for sharing the correct information and how timely the information is shared.

Fact Finding 29 Final Report at 36 (May 31, 2022).

It may not be reasonable to expect empty containers to be returned to locations that have not been identified by Respondents or to document attempts to return containers to locations before those locations have been identified. The parties may want to clarify the language in sections 5C and 5D to avoid confusion.

Where dual transaction appointments were available, the settlement agreement in 5(A)(iii)(d) requires submission of a statement “from the motor carrier that it attempted in good faith to arrange for a dual-transaction and after reasonable efforts was unable to do so.” Settlement Agreement at 4. BOE states that the agreement “neither requires a motor carrier to show it did not have a dual transaction or show that it attempted one.” BOE Supplemental Brief at 11. Respondents state that “absent other evidence that forms the basis for the denial of a request, Wan Hai will grant a waiver request on the basis of the motor carrier’s representation that it acted diligently to try to return equipment but could not do so because of a dual-transaction requirement that it could not satisfy.” Respondents’ Supplemental Brief at 8. The parties assert that this requirement is consistent with the Demurrage and Detention Rule and the Commission’s statements on dual transactions. This requirement seems duplicative of the section 5(A)(iii)(c) requirement that if “a screenshot shows an available appointment that the disputing person asserts could not be used by the motor carrier, the dispute must include a description of why the appointment could not be used.” Settlement Agreement at 3.

The settlement agreement sets out a procedure that is potentially confusing. Moreover, it is not clear that the requirements to take screen shots on two days within three hours of appointment release, and the statement regarding dual transactions are reasonable requirements. In addition, the shipping industry is dynamic, and any resolution should be flexible enough to

adjust to changing circumstances. For example, a settlement could require good faith attempts to return empty containers and provide examples of sufficient evidence, however, the requirements should not be so rigid that they stifle innovation. Therefore, the parties may want to consider permitting alternatives, for example, if an entity searches for appointments by email or phone calls, there should be a mechanism to include that evidence.

Reviewing settlement agreements is inherently challenging because there is not a detailed record on which to base a decision, although it is unusual for a settlement agreement not to be approved. Even after supplemental briefing by the parties, the undersigned continues to have concerns regarding section 5 of the settlement agreement and finds that the settlement agreement lacks clarity and may not be consistent with section 41102(c) and the Demurrage and Detention Rule. To alleviate the burden to the supply chain created by congestion at the ports, it is important that the settlement agreement articulate clear and reasonable terms that motor carriers, beneficial cargo owners, and the public can follow. Given the importance of the issues raised in this proceeding, and because a finding cannot be made that the settlement agreement does not contravene law or public policy, the undersigned is compelled to reject the proposed settlement agreement.

IV. Conclusions and Order

For the reasons outlined above, the petition to intervene is denied and the motion to approve the settlement is denied. Pursuant to Commission Rule 227, the denial of a petition to intervene shall be deemed to be a dismissal which can be reviewed by the Commission and can be appealed by any party no later than twenty-two days after service of the ruling. 46 C.F.R. § 502.227(b)(3), (d). This appeal or review would apply to the motion to intervene, and the parties would still be required to appeal the denial of the joint settlement motion or file the joint status report outlined below, which have deadlines prior to the deadline to appeal the denial of intervention.

The denial of the joint settlement motion would not be reviewable at this time, pursuant to Rule 227. However, Commission Rule 221(a) states that the presiding officer may allow an interlocutory appeal if he or she finds it necessary “to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.” 46 C.F.R. § 502.221(a); *Maher Terminal, LLC v. Port Authority of New York and New Jersey*, 32 S.R.R. 1, 32-33 (ALJ 2011) *aff’d in part* 32 S.R.R. 1185 (FMC 2013). Permitting an interlocutory appeal of the denial of the joint settlement motion would prevent substantial delay, expense, detriment to the public interest, and undue prejudice to the parties. Accordingly, *sua sponte*, the parties are granted leave to appeal the denial of the joint settlement motion. If the parties choose to file an appeal, their briefs are due on June 16, 2022, and responses due on June 23, 2022, because of the expedited nature of this proceeding. 46 C.F.R. § 502.221(c).

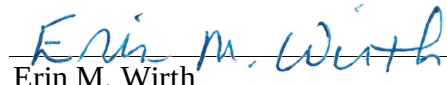
If denial of the joint settlement motion is appealed by the parties, then the proceeding will be stayed before the undersigned. If there is no appeal of the joint settlement motion, then the parties should submit a joint status report with a proposed schedule to either revise the settlement agreement or proceed with discovery and briefing. The joint status report should be filed by June 17, 2022.

Accordingly, upon consideration of the motions, memoranda, settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that Orange Avenue Express's motion for leave to intervene in this proceeding be **DENIED**. It is

FURTHER ORDERED that the joint motion for approval of proposed settlement agreement between the Bureau of Enforcement, Wan Hai Lines, Ltd., and Wan Hai Lines (USA) Ltd. be **DENIED**. It is

FURTHER ORDERED that the parties are granted leave to appeal the denial of the joint settlement motion pursuant to Rule 221. If any party appeals the denial of the joint settlement motion, their brief is due on June 16, 2022, and any response is due on June 23, 2022. If an appeal is not filed, the parties shall file a joint status report with proposed schedule by June 17, 2022.


Erin M. Wirth
Chief Administrative Law Judge